## India as a Global Actor: Characterising India's Foreign and Security Policy Priorities, and the Issue to Watch over the Next 12 Months

Strategic autonomy continues to be the core organising principle of Indian foreign policy.[1] India's Minister of External Affairs, S. Jaishankar, has stated it plainly, describing national interest as best secured by 'maximising opportunities and maintaining freedom of choice.'[2] During the Cold War, India maintained a non-alignment policy, declining formal membership of either bloc. However, the end of the bipolar global structure removed the structural dynamics that had long underpinned non-alignment. Consequently, Indian foreign policy shifted toward multi-alignment, enabling New Delhi to engage with multiple major powers on terms tailored to its own strategic imperatives.[3]

Today, this approach is evident in India maintaining overlapping relationships – balancing defence and diplomatic ties with Western democracies, sustaining a long-standing partnership with Russia, and participating alongside China in multilateral organisations such as BRICS. It is further demonstrated by India's concurrent management of its relations with both Washington and Moscow. India continues to buy discounted Russian crude oil despite sustained Western pressure, framing its ongoing energy purchases as a matter of economic necessity for its domestic market. Simultaneously, India also seeks to deepen its economic cooperation with the United States, with both countries pursuing a US-India Bilateral Trade Agreement and reaching an interim 'trade deal framework' in February 2026 that lowered US tariffs on Indian imports from a peak of 50 per cent to 18 per cent.[4]

On the security front, India's most immediate challenge arises from the dual strategic pressure of the China-Pakistan nexus. Data from the Stockholm International Peace Research Institute shows that China supplied 81 per cent of Pakistan's major arms imports between 2020 and 2024,[5] while border disputes persist along the Line of Actual Control. Simultaneously, maritime vulnerability in the Indo-Pacific continues to present a critical economic risk. Approximately 95 per cent of India's trade volume passes through the Indian Ocean Region (IOR)[6] and its strategic chokepoints – narrow sea lanes that funnel international shipping through constrained passages.[7] Over the last decade, the IOR has transformed from a strategic backwater into a volatile maritime theatre in which the People's Liberation Army Navy (PLAN) maintains a persistent presence.[8] This regional fragility was further exposed in February 2026 when the US-Israeli-Iran conflict led to the closure of the Strait of Hormuz, reducing maritime transit by over 90 per cent within days and driving the cost of India's crude oil imports from USD 63 per barrel in January to USD 113 in March.[9]

Tensions along India's regional borders, as well as competition in the Indian Ocean, have impacted New Delhi's security priorities which finds itself at a critical juncture. It has prompted the emergence of a systematic reset in New Delhi's security preparedness. This is reflected in the 2026–27 Union Budget, which allocated Rs 784,678 crore to the Ministry of Defence, amounting to 14.68 per cent of government expenditure, with an emphasis on self-reliance in domestic defence production.[10] Concurrently, the Indian Navy identifies the entire IOR, extending from the eastern coast of Africa to the Andaman Sea, as its area of priority, positioning India as a net security provider to the region.[11] The Mutual and Holistic Advancement for Security and Growth Across Regions (MAHASAGAR) framework, announced in 2025, further articulates an expanded maritime role for India's security priorities.[12]

[1] Latham, "What Is 'Strategic Autonomy' – and Why Is Everyone Suddenly Reaching for It?"
[2] "India's 'Strategic Autonomy' Key to Safeguarding National Interest: Jaishankar at Aravalli Summit 2025."
[3] Agar Wala, "India's Strategic Autonomy in a Transactional World."
[4] "Highlights of US-India Interim Trade Framework."
[5] Wong, "China Supplied 81% of Pakistan's Arms Imports in the Past 5 Years, SIPRI Says."
[6] Press Information Bureau, Government of India, "Sagarmala: Transforming India's Maritime Landscape."
[7] Wey, "From Gallipoli to the Strait of Malacca: Why Maritime Choke Points Still Decide the Fate of Nations."
[8] Baruah, "Securing Sea Lanes: Maritime Choke Points in the Indian Ocean Region."
[9] "Crude Oil Prices Jump From $63 to $116 Amid West Asia Crisis; Fuel Supply Remains Stable: Petroleum Ministry."
[10] Pant, "Union Budget 2026-27: India's Foreign and Security Policy Priorities."
[11] Baruah et al., "Mapping the Indian Ocean Region."
[12] Saha, "MAHASAGAR: India's Global Maritime Vision Explained — and Where Does Australia Fit?"

Within the Quad framework, India's practical cooperation alongside Australia, Japan, and the United States relies on strategic convergence – a shared alignment of regional interests and threat perceptions. The Quad Foreign Ministers' Meeting held in New Delhi in May 2026 demonstrated the practical turn this has taken, unveiling five action areas spanning maritime security, ports, energy, supply chains, and critical minerals, launching an Indo-Pacific Maritime Surveillance Collaboration to integrate surveillance systems and share maritime data in real time, and committing to joint port infrastructure development in Fiji as the grouping's first collective project in the Pacific Islands.[13] The accompanying Critical Minerals Framework operationalises this by covering all three stages of the supply chain and incorporating private-sector coordination into the architecture.[14] This is critical as supply chain resilience – encompassing energy, critical minerals, and advanced technologies – has emerged as a vital security priority for India, which views technological capability as an integral facet of its strategic autonomy. Bilateral ties with Australia have similarly deepened, underscored by the Joint Declaration on Defence and Security Cooperation and the India-Australia Maritime Security Collaboration Roadmap, which both nations endorsed on 9 July 2026.[15] Operational interoperability remains central to this partnership, as seen in earlier benchmarks such as the 2024 air-to-air refuelling arrangement, under which Royal Australian Air Force KC-30A tankers refuel Indian Armed Forces aircraft.[16]

**The key issue to watch over the next twelve months is** India's energy security in the context of maritime threats, which consolidates the strategic vulnerabilities outlined above and which New Delhi has now explicitly acknowledged. On 15 August 2026, Prime Minister Modi identified energy security as the 'demand of the time' and cited the Sustainable Harnessing and Advancement of Nuclear Energy for Transforming India (SHANTI) Act among the steps already taken. He reaffirmed a target of 100 gigawatts of nuclear capacity by 2047 against a current base of roughly 8.8 gigawatts, committed India to commencing five new reactors this decade, and noted that the Prototype Fast Breeder Reactor at Kalpakkam had achieved criticality earlier in the year.[17] This warrants close attention because the primary constraints on India's international commitments have historically been domestic. Although Australian uranium has been legally accessible since the 2014 Bilateral Civil Nuclear Agreement,[18] commercial transfers have stalled for over a decade because India's 2010 Civil Liability for Nuclear Damage Act granted operators a statutory right of recourse against suppliers, exposing foreign vendors to open-ended liability.[19] The SHANTI Act, in force from December 2025, repealed that Act along with the Atomic Energy Act 1962, and confined supplier recourse to contractually agreed terms in line with international nuclear liability conventions.[20] The Administrative Arrangement signed with Australia on 9 July 2026 supplied the last administrative requirement, allowing Australian producers to conclude commercial contracts with Indian buyers under International Atomic Energy Agency safeguards.[21] But whether these policy commitments translate into outcomes depends on four critical benchmarks: publication of the subordinate rules under the Act, commencement of the five reactors, first commitments from foreign suppliers, and departure of the first Australian uranium shipment. Progress across these fronts will test whether domestic reform can deliver what New Delhi's diplomacy has undertaken – a metric equally decisive for defence collaboration and India's broader international partnerships.

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[13] Sharma, "The Quad Returns: From Strategic Drift to Strategic Reset in the Indo-Pacific - Australian Institute of International Affairs."
[14] Pandalai, "The Quad Dividend for Australia and India."
[15] "Third Australia–India Annual Summit Joint Statement."
[16] Department of Defence, Government of Australia, "Milestone in Air Interoperability With India."
[17] "PM Modi's Independence Day Speech: Energy Security Demand of Our Times."
[18] "Agreement Between the Government of Australia and the Government of India on Cooperation in the Peaceful Uses of Nuclear Energy."
[19] "SHANTI Act 2025: Rewiring India's Nuclear Liability and Regulatory Architecture."
[20] "Sustainable Harnessing and Advancement of Nuclear Energy for Transforming India (SHANTI) Act, 2025'
[21] "Terms Finalized for Australian Uranium Exports to India."

## Notes


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